1-4b Classifications of Stockholders’ Equity

Stockholders’ equity is classified as:

- Common Stock
- Retained Earnings

Common stock is shares of ownership distributed to investors of a corporation. It represents the portion of stockholders’ equity contributed by investors. For **NetSolutions**, shares of common stock of $25,000 were distributed to Chris Clark in exchange for investing in the business.

Retained earnings (The stockholders’ equity created from business operations through revenue and expense transactions; an account representing the net income retained in a corporation.)

is the stockholders’ equity created from business operations through revenue and expense transactions. For NetSolutions, retained earnings of $3,050 were created by its November operations (revenue and expense transactions), computed as follows:

NetSolutions Retained Earnings
November Operations
(Revenue and Expense Transactions)

	Fees Earned	−	Wages Exp.	−	Rent Exp.	−	Supplies Exp.	−	Utilities Exp.	−	Misc. Exp.
Transaction d.	+7,500										
Transaction e.			−2,125		−800				−450		−275
Transaction g.							−800				
Balance, Nov. 30	7,500		−2,125		−800		−800		−450		−275

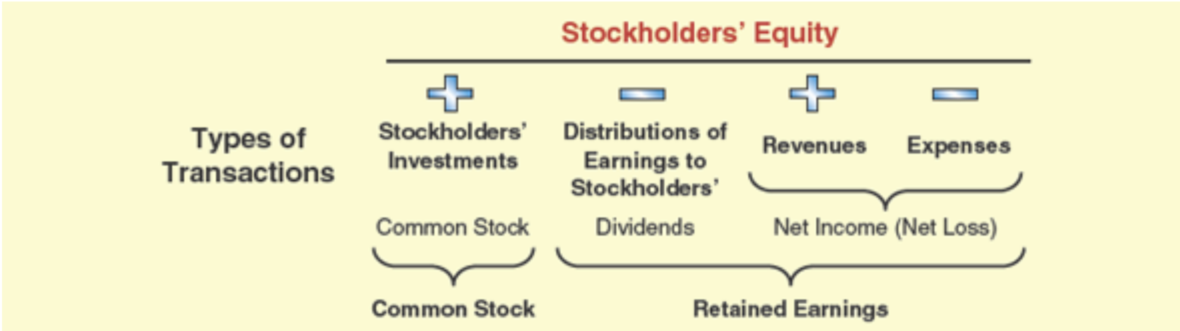
$3,050

Stockholders’ equity created by investments by stockholders (common stock) and by business operations (retained earnings) are reported separately. Since dividends are distributions of earnings to stockholders, dividends reduce retained earnings. NetSolutions paid $2,000 in dividends during November, thus reducing retained earnings to $1,050 ($3,050 − $2,000).

The effects of investments by stockholders, dividends, revenues, and expenses on stockholders’ equity are illustrated in Exhibit 7.

Exhibit 7

Effects of Transactions on Stockholders’ Equity



Check up Corner 1-1

Business Transactions and the Accounting Equation

Drive Time Delivery is a local delivery service operating in Cleveland, Ohio. On February 1, Drive Time has the following balances: Cash, $32,500; Accounts Receivable, $5,000; Accounts Payable, $2,500; Common Stock, $32,500; Fees Earned, $5,000; Wages Expense, $2,500.

Drive Time Delivery completed the following transactions during February:

a. Received cash from owner as an additional investment in common stock, $20,000.

b. Paid creditors on account, $2,000.

c. Received cash from customers on account, $5,000.

d. Billed customers for delivery services on account, $18,000.

e. Paid wages expense, $10,000.

f. Paid utilities expense, $3,000.

g. Paid dividends, $4,500.

Indicate the effect that each of these transactions has on the following accounting equation elements: Cash, Accounts Receivable, Accounts Payable, Common Stock, Dividends, Fees Earned, Wages Expense, Utilities Expense.